

SENATE BILL 2681

By Kyle

a*68,67-6-102,39-17-1002

AN ACT to amend Tennessee Code Annotated, Section 39-17-1002; Section 67-6-102 and Title 68, relative to the Bring Your Own Generation (BYOG) Act.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 68, is amended by adding the following as a new chapter:

68-206-101. Short title.

This chapter is known and may be cited as the "Bring Your Own Generation (BYOG) Act."

68-206-102. Chapter definitions.

As used in this chapter:

- (1) "Artificial intelligence" has the same meaning as defined in § 39-17-1002;
- (2) "Data center" has the same meaning as defined in § 67-6-102;
- (3) "Qualified data center" has the same meaning as defined in § 67-6-102; and
- (4) "State energy policy council" means the council created by § 68-204-101.

68-206-103. Clean energy transition surcharge.

The state energy policy council shall impose and collect a clean energy transition surcharge on a data center that has a peak demand of one hundred megawatts (100 MW) or more. The clean energy transition surcharge must equal one hundred percent

(100%) of the proportional costs of adding new clean energy resources to the grid, including transmission upgrades. The council shall collect the surcharge and deposit the funds into the Tennessee environmental protection fund, pursuant to § 68-203-101. The state energy policy council shall ensure that no costs associated with serving the data center are shifted to customers.

68-206-104. Onsite clean energy generation mandate.

A new data center or artificial intelligence facility in this state that has an estimated peak load exceeding one hundred megawatts (100 MW) shall derive fifty percent (50%) of its electricity supply from new, carbon-free energy sources located onsite or through direct interconnection. The amount of new, clean energy generated must prevent a net decrease in the energy available to the public transmission and distribution system.

68-206-105. Prohibition of fossil fuel incentives.

(a) Fossil fuel power purchase agreements (PPAs) cannot be used to qualify for any state economic development incentives or reduced utility rates.

(b) A qualified data center shall not utilize state-subsidized fossil fuel generation for its primary power load.

SECTION 2. Tennessee Code Annotated, Section 68-204-103(b), is amended by adding the following as a new subdivision:

(7) Create and impose a clean energy transition surcharge on a data center that has a peak demand of one hundred megawatts (100 MW) or more, pursuant to § 68-206-102.

SECTION 3. Tennessee Code Annotated, Section 68-203-101(b)(1), is amended by adding the following as a new subdivision:

(O) The Bring Your Own Generation (BYOG) Act, compiled in chapter 206 of this title.

SECTION 4. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 5. This act takes effect July 1, 2026, the public welfare requiring it.